Oracle (ORCL): Meeting Brief

AI capacity, guidance, counterparties, financing and timing

Prepared 12 Nov 2026

Sources: Bobby Tech Daily (sell-side, SemiAnalysis, Bloomberg, 9fin, company)

The setup. Demand is not the debate; **financing and delivery timing are.** RPO is $664B and FY30 targets were reaffirmed. But Oracle's credit trades near high yield, it raised $20B on 4 Nov, Microsoft is winding down an older-GPU rental, and independent trackers have two of the five mega sites slipping behind guidance.

FINANCIAL GUIDANCE (COMPANY)

ITEM	GUIDE / DISCLOSURE	CONTEXT AND PUSHBACK
FY30 targets	Rev $225B+ · EPS $21+ · non-GAAP op margin 40%+	Reaffirmed at Analyst Day; margin target new (consensus 39%).
Operating margin path	43% FY26 → trough FY28–29 "not significantly below" 40% → 40%+ FY30	Recovery relies on apps/database mix. Cloud Database +26% vs CFO's "well in excess of 50%".
RPO	$664B (+46% y/y)	vs consensus $630B; just under the $670B buy-side bogey. >90% infrastructure. All of 4Q's $51B RPO add came from non-frontier customers.
AI capacity	~3GW exiting FY26 → ~10GW by end-FY28	7GW through May 2028 is contracted and under construction. 4 of 5 large sites start service in CY27. UBS checks: no customer hedging on 6+GW.
Capex	Peaks FY27–FY28; declines FY29	No dollar figures in our sources.
Free cash flow	Positive 2H FY28 (Feb/May 2028 qtrs); $30B+ FY29	Guide counts vendor-financing payments as outflows. MS models negative consolidated FCF through FY28.
External funding	~$20B over FY26–FY30 ($10B equity + $10B debt); gross debt flat	Done 4 Nov. MS credit: refinancing $5B / $4.75B / $6.25B in FY27/28/29 plus possible tens of $B of vendor financing sit outside that framing.
Leverage cap	Net debt / adj. EBITDA <3.5x by FY29	Net debt includes leases and vendor financing. SemiAnalysis: ~$288B of lease commitments could push toward the cap.
Capital-light structures	Prepay, vendor financing and BYO-hardware cut upfront cash ~50%	$30B+ of new AI contracts closed without more Oracle capital.
1GW unit economics	~$37B capex · ~$16B rev/yr · ~34% op margin · ~28% ROI · ~100% FCF conversion	Contracts are cost-plus (~35% GM), so memory inflation passes through. $16B/GW vs ~$10B/GW cited in 2025.
Older-GPU fleet	Q1: 4-yr-old GPUs renewed or resold at a 20% premium	Contrast: Microsoft not renewing its 2023 OCI rental (older Nvidia GPUs).

BALANCE SHEET AND CREDIT

- **4 Nov raise:** 86.2M shares at $116 (~11% discount, ~$9.9B net) + $10B notes at **7.00–8.65%**, 2029–2046 (largest: $2.5B 2037s at 8%).
- **Debt:** $125.3B senior unsecured (31 Aug 26); ~$169B including leases.
- **Raised since saying needs would be well under ~$100B:** ~$50B ($25B bonds, $5B mandatory convertible preferred, $20B ATM), per MS credit. MS cites an FY27 plan of ~$40B.
- **SemiAnalysis:** off-balance-sheet commitments exceed total assets; 2027 debt need $48–79B; ~0.6GW of leasing relies on Nvidia credit wrappers.
- **Rating:** BBB-; S&P outlook negative.
- **5Y CDS:** **~300bp** vs ~70bp a year ago.
- **Spreads:** 10-yr G-spread 289bp vs 301bp for the single-B curve (+114bp since 30 Jun). 2046s yield 8.67%, level with the HY index. New notes priced 35–41bp wide of the curve.
- **Stargate loans:** SocGen offering up to $300M (Shackelford TX, Port Washington WI) at 95c and rejected a bid in the 80s. ING selling a $500M package incl. Stargate NM (bids due 19 Nov). Jupiter loans quoted 89–91.
- **Insider:** director Rusckowski bought $3.5M (holdings +5,556%).

KEY DATA CENTER SITES

Mizuho (company discussions): all 5 mega sites under construction, 4 of 5 permitted, delays already in the guide. About 30% of Oracle's capacity will be in Texas by YE27.

SITE	DEVELOPER / TENANT	SIZE	ORACLE GUIDE	INDEPENDENT VIEW	GATING ITEMS AND RISK
Lighthouse Port Washington, WI	Vantage ($15B campus); Oracle / OpenAI	~900MW IT; 1.3GW 2028 (TrendForce)	Operation 2H27	**SemiAnalysis: first AI ops 3Q28** (3–4 qtrs late), full load 1Q29. TrendForce: 2027 cut to 310MW from 650MW.	PSC completeness ruling early Dec; order ~Jun 2027. $2.48–2.72B grid build (incl. $1.1B E-STATCOM) paid by Oracle; E-STATCOM in service 30 Jun 2028. Load swings capped at 25MW until then. Oracle owes all grid costs if cancelled.
Saline Township, MI	Oracle	974MW IT	Start 2H27	SemiAnalysis: first grid power end-2027, ramp through 2028 (~2 qtrs later than its prior model; in line with guide).	ITC's two 345kV stations due 30 Nov 2027; DTE rate case assumes load from Jan 2028. Oracle may defer contract ramp steps up to 12 months.
Project Jupiter, NM	Oracle / Stargate; Bloom fuel cells	1,600MW cap	1H27 first power	SemiAnalysis: first 100MW in 2Q27 only if air permit approved 1Q27. If the draft permit lands in Feb: approval Aug–Oct 2027, first power **4Q27–1Q28**. Full ramp ~mid-2028.	Air-permit hearing (7 Dec) **vacated**; no new date. Lender cited force majeure on power. Green Chile gas line est. Jun 2027. Oracle says it has plans if permits fail. Loans quoted 89–91.
Shackelford Co., TX	Vantage (Stargate Texas)	1.4GW GPU	n/a in sources	SemiAnalysis: ~700MW may slip beyond 4Q27.	~709MW nameplate (545MW IT) permitted; another 700MW IT not approved. **Texas moratorium risk.** SocGen selling loan slice at 95c.
Abilene, TX	Crusoe (Stargate)	Bldgs 9/10: 672MW (Microsoft GPU)	n/a in sources	SemiAnalysis: likely delayed beyond 3Q27.	On-site generation air permit pending under the TCEQ pause. Microsoft stepped back from portions of Stargate capacity.

COUNTERPARTIES

COUNTERPARTY	ROLE	WHAT WE KNOW	WATCH
OpenAI	Anchor tenant	$300B agreement signed 2025, 5–6 yr tranches going live through 2030, understood to be non-cancelable. Oracle: <50% of RPO. Deutsche Bank: still 40%+. Q3 revenue ~$10B (+~50% q/q).	Funding pace (round cut to ~$20B); SoftBank "wait and see"
Microsoft	Customer, now stepping back	Not renewing its 2023 OCI AI rental (older Nvidia GPUs). Oracle says earlier-gen demand is still strong. Stepped back from parts of Stargate.	Residual value on prior-gen fleet
Google	Chip partner	OCI to rent TPUs from 2027 (first cloud outside Google); Oracle buys the chips and supplies power, cooling and networking. Volumes undisclosed.	Margin and prepay terms vs GPUs
Nvidia	GPU supplier; credit support	Vera Rubin on OCI at multi-GW scale. ~0.6GW of leasing relies on Nvidia credit wrappers (SemiAnalysis).	Vendor-financing size
AMD · Cerebras · Intel	Diversification	MI455X/Helios ramping at Oracle. Cerebras fast inference on OCI from 2027. Intel CPU long-term agreement; one customer committed ~1M CPUs (capacity 100% committed for 18–48 months).	Share of the 10GW that is not Nvidia
SoftBank	Stargate partner	5Y CDS 466bp (4-yr high); CFO says "wait and see" on new AI investment.	Stargate equity funding
Vantage · Crusoe	Developers / landlords	Lighthouse and Shackelford (Vantage); Abilene (Crusoe).	Permits; lease terms
Bank group	$38B Stargate lenders	SocGen and ING are selling construction-stage paper at a discount.	First public price mark: 19 Nov
Tencent	Lost deal	~$7B, 5-yr lease of ~100K AI chips reportedly scrapped under US pressure.	n/a

TIMELINE AND CATALYSTS

DATE	EVENT	WHY IT MATTERS
19 Nov 2026	ING data-center loan bids due (incl. $25M Stargate NM)	First public price mark on Stargate-linked debt
Early Dec 2026	Wisconsin PSC completeness ruling (Lighthouse grid)	Starts the ~180-day clock to a ~Jun 2027 order
Mid-Dec 2026	FQ2 FY27 earnings (confirm date)	RPO, capex, funding and site-timing updates
10 / 17 Dec 2026	ERCOT report / Texas PUC	Texas large-load rules; ~30% of Oracle capacity in Texas by YE27
19 Jan 2027	Texas governor-elect Hinojosa takes office	Pledged a data center moratorium
1H27	Jupiter (NM) first power, Oracle guide	SemiAnalysis: 4Q27–1Q28 if the permit slips
~Jun 2027	Wisconsin PSC order; Green Chile gas (NM)	Lighthouse and Jupiter gating items
2H27	Lighthouse and Saline start (Oracle guide)	SemiAnalysis: Lighthouse 3Q28; Saline end-2027
30 Nov 2027	ITC 345kV stations (Saline)	Grid power for Michigan
Dec 27 – May 28	FCF turns positive (2H FY28 guide)	The key proof point for the funding story
May 2028	End-FY28: ~10GW capacity	7GW contracted and under construction
30 Jun 2028	Lighthouse E-STATCOM in service	Lifts the 25MW load-swing cap
FY29	Capex declines; FCF $30B+; net leverage <3.5x	Deleveraging targets

QUESTIONS FOR MANAGEMENT (MOST PRESSING FIRST)

1. **Funding beyond the $20B.** Reconcile "$20B and done" with MS (FY27–29 refinancing plus vendor financing) and SemiAnalysis ($48–79B 2027 debt need). What triggers another raise before FCF turns positive?
2. **Leases vs leverage.** With ~$288B of lease commitments counted in net debt, how much room is there under 3.5x by FY29? What would a downgrade to junk do to the 1GW project returns?
3. **Lighthouse.** SemiAnalysis has first AI ops in 3Q28 vs your 2H27; TrendForce has 2027 at 310MW. What is in the FY28 guide, and can contract steps move to other sites?
4. **Jupiter (NM).** Hearing vacated and force majeure cited. What is the fallback if the permit slips to late 2027? Can you defer ramps by up to 12 months without penalty?
5. **Texas.** ~30% of capacity in Texas by YE27. Which sites are grandfathered under a moratorium, and which are still waiting on grid connection?
6. **Customer credit.** How much of the $664B is with customers rated below investment grade? How much is non-cancelable with prepayment or customer-supplied hardware?
7. **Older GPUs.** How much of the installed fleet comes up for renewal in the next 18 months, and what happens to pricing when 2027 supply (incl. SpaceX's >1GW for rent) lands?
8. **1GW returns.** Does ~34% margin and ~28% ROI hold at 8% debt cost and with late-delivery credits? What is the FY28–29 margin floor?
9. **Beyond Nvidia.** How much of the 10GW is TPU, Cerebras or AMD? Do TPU rentals carry different margins, prepayments or credit support?
10. **Core business.** Cloud Database +26% vs "well in excess of 50%"; one partner says fewer than 5 of its 400+ customers bought the $500K Fusion AI package. What gets margins back above 40% by FY30?

Notes:

Appendix: Stephen Byrd (Morgan Stanley)

Data center power, bitcoin miners and AI hosting

Prepared 12 Nov 2026

Type of analyst: Byrd is a power and utilities analyst, not a compute or semis analyst. He leads Morgan Stanley's thematic research and covers clean energy and utilities. He treats bitcoin miners as owners of scarce, already-connected power. His edge: power, grid connection, policy and lease economics. Push him on GPU demand and tenant credit.

MORGAN STANLEY'S NUMBERS (FROM THE TECH DAILY)

METRIC	MORGAN STANLEY FIGURE
US data center capacity, 2030	152GW
Capacity at risk from post-midterm politics	12.4GW (8%) by 2030; 4.9GW in 2028; nothing in 2027. A separate line cites 24GW of Texas builds at risk through 2030 (ask him to reconcile).
Timing shift	~5GW of 2028 builds move to 2029. US adds 19.9GW in 2028 and 27.6GW in 2029.
Gas turbines	~130GW of 2026 orders vs ~50GW/yr in 1990–2025. 2030 supply ~100GW vs ~75GW demand, excluding data centers with on-site power.
SpaceX compute	Slightly more than 8GW by YE27 vs Musk's >13GW
Texas	Will cut the odds on Texas batch-process projects (Galaxy Helios II, Cipher Colchis, MARA). CenterPoint is the most exposed utility.
Capacity running today	**Not in our sources.** Ask him.

The Street: Gerstner 10–15GW of ~43GW 2027 build may not come online; SemiAnalysis 5.8GW delayed across 2027–1H28; Jefferies cut 2026–30 to 112.8GW from 122.4GW; Bernstein 2–4% realistic hit.

CONTEXT FOR THE MINERS

- **Texas sorting test:** permitted, switched-on power gains value (WULF, RIOT, APLD, Hut 8 Beacon Point). Texas projects with on-site power or still in the grid queue get a political discount (CIFR's 2.5GW; ~4.2GW across CIFR and GLXY). HUT −23% and CIFR −20% on the day.
- **Neocloud tenants:** Microsoft reportedly stopped contracting with neoclouds; IREN pushed back >$4B of contracted annual revenue to Jan–Feb 2027.
- **Financing:** hyperscaler-backed deals ~175bp tighter than neocloud-tenant deals. Nexus (Anthropic, TX) bond refinancing shelved; MS led the bank group.
- **Rents:** powered-building leases up from ~$1.83 per IT watt (WULF, Aug 2025) to $2.37–2.38 (WULF, RIOT, mid-2026).
- **Build costs:** Cipher Barber Lake ~$13M per IT MW vs $9–11M guided; WULF guides $8–10M.

QUESTIONS FOR BYRD

1. 2027 untouched and 4.9GW at risk in 2028, vs Gerstner, SemiAnalysis and UBS. What are they missing? How many GW run today vs energized without GPUs?
2. Is it 12.4GW nationally or 24GW in Texas? What does a 6–9 month pause from January do? Which signal matters most: ERCOT 12/10, PUC 12/17 or 1/19?
3. Where is the grandfathering line? How should we value CIFR's 2.5GW and Galaxy's Helios II under a freeze?
4. With Microsoft out, who takes the next 5GW of miner capacity? What share of signed leases has an investment-grade guarantor?
5. Do rents keep rising on scarce permits, or fall as SpaceX capacity and neocloud GPU allocation cuts arrive?
6. Which miners can fund 2027 builds without issuing stock?
7. Do your models still assume the old cost per MW?
8. Is the binding constraint now permits and politics rather than turbines?
9. If 2028 deliveries move to 2029, how much 2027–28 compute has no building? When do chip or rack orders get pushed out?
10. Permitted capacity outside Texas or big Texas pipelines (e.g. IREN Sweetwater, 730MW with no customer)? What makes you cut the group?

Byrd's own current installed-capacity figure was not available: Morgan Stanley research did not appear in AlphaSense, and AlphaSense numbers attributed to him actually came from Bernstein, Piper Sandler and Jefferies, so they are excluded here.